MERLIN PROPERTIES SOCIMI, S.A. and Subsidiaries

Interim Condensed Consolidated Financial Statements and Interim Directors' Report for the six-month period ended 30 June 2016, together with Report on Limited Review

Translation of a report originally issued in Spanish and of interim condensed consolidated financial statements originally issued in Spanish and prepared in accordance with the regulatory financial reporting framework applicable to the Group in Spain (see Notes 2 and 17). In the event of a discrepancy, the Spanish-language version prevails.

Deloitte.

Deloitte, S.L.
Plaza Pablo Ruiz Picasso, 1
Torre Picasso
28020 Madrid
España

Tel.: +34 915 14 50 00
Fax: +34 915 14 51 80
www.deloitte.es

Translation of a report originally issued in Spanish and of interim condensed consolidated financial statements originally issued in Spanish and prepared in accordance with the regulatory financial reporting framework applicable to the Group in Spain (see Notes 2 and 17). In the event of a discrepancy, the Spanish-language version prevails.

REPORT ON LIMITED REVIEW OF INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS

To the Shareholders of
Merlin Properties SOCIMI, S.A. at the request of Board of Directors,

Report on the Interim Condensed Consolidated Financial Statements

Introduction

We have performed a limited review of the accompanying interim condensed consolidated financial statements ("the interim financial statements") of Merlin Properties SOCIMI, S.A. ("the Parent") and Subsidiaries ("the Group"), which comprise the interim condensed consolidated statement of financial condition as at 30 June 2016, and the interim condensed consolidated statement of income, interim condensed consolidated statement comprehensive income, interim condensed consolidated statement of changes in equity, interim condensed consolidated statement of cash flows and explanatory notes thereto for the six-month period then ended. The Parent's directors are responsible for the preparation of these interim financial statements in accordance with the requirements of International Accounting Standard (IAS) 34, Interim Financial Reporting, as adopted by the European Union, for the preparation of interim condensed financial information, in conformity with Article 12 of Royal Decree 1362/2007. Our responsibility is to express a conclusion on these interim financial statements based on our limited review.

Scope of the Review

We conducted our limited review in accordance with International Standard on Review Engagements 2410, "Review of Interim Financial Information Performed by the Independent Auditor of the Entity". A limited review of interim financial statements consists of making inquiries, primarily of persons responsible for financial and accounting matters, and applying analytical and other review procedures. A limited review is substantially less in scope than an audit conducted in accordance with the audit regulations in force in Spain and, consequently, it does not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion on the accompanying interim financial statements.

Conclusion

As a result of our limited review, which under no circumstances may be considered to be an audit of financial statements, nothing came to our attention that might cause us to believe that the accompanying interim financial statements for the six-month period ended 30 June 2016 have not been prepared, in all material respects, in accordance with the requirements of International Accounting Standard (IAS) 34, Interim Financial Reporting, as adopted by the European Union, pursuant to Article 12 of Royal Decree 1362/2007, for the preparation of interim condensed financial statements.

Deloitte, S.L. Inscrita en el Registro Mercantil de Madrid, tomo 13.650, sección 8ª, folio 188, hoja M-54414, inscripción 96ª. C.I.F.: B-79104469.
Domicilio social: Plaza Pablo Ruiz Picasso, 1, Torre Picasso, 28020, Madrid.

Emphasis of Matter

We draw attention to Note 2.1 to the accompanying interim condensed consolidated financial statements, which indicates that the aforementioned accompanying interim financial statements do not include all the information that would be required for a complete set of consolidated financial statements prepared in accordance with International Financial Reporting Standards as adopted by the European Union and, therefore, the accompanying interim financial statements should be read in conjunction with the Group's consolidated financial statements for the year ended 31 December 2015. Our conclusion is not modified in respect of this matter.

Report on Other Legal and Regulatory Requirements

The accompanying interim consolidated directors' report for the six-month period ended 30 June 2016 contains the explanations which the Parent's directors consider appropriate about the significant events which took place in that period and their effect on the interim financial statements presented, of which it does not form part, and about the information required pursuant to Article 15 of Royal Decree 1362/2007. We have checked that the accounting information in the interim consolidated directors' report is consistent with that contained in the interim financial statements for the six-month period ended 30 June 2016. Our work was confined to checking the interim consolidated directors' report with the aforementioned scope, and did not include a review of any information other than that drawn from the accounting records of Merlin Properties SOCIMI, S.A. and Subsidiaries.

Other Matters

This report was prepared at the request of the Board of Directors of Merlin Properties SOCIMI, S.A. in relation to the publication of the half-yearly financial report required by Article 119 of Consolidated Spanish Securities Market Law approved by Royal Decree 4/2015, of 23 October, and implemented by Royal Decree 1362/2007, of 19 October.

DELOITTE, S.L.

Antonio Sánchez-Covisa Martín-González
21 September 2016

Merlin Properties SOCIMI, S.A. and Subsidiaries

Interim Condensed Consolidated Financial Statements for the six-month period ended 30 June 2016, prepared in accordance with International Financial Reporting Standards (IFRSs) as adopted by the European Union

MERLIN PROPERTIES SOCIMI, S.A.
AND SUBSIDIARIES

INTERIM CONDENSED CONSOLIDATED STATEMENT OF FINANCIAL CONDITION AS OF 30 JUNE 2016
(Thousands of euros)

ASSETS	Notes	30/06/2016	31/12/2015	EQUITY AND LIABILITIES	Notes	30/06/2016	31/12/2015
NON-CURRENT ASSETS:				EQUITY:			
Goodwill	Note 5	78.258	193.039	Subscribed capital	Note 9	323.030	323.030
Concession projects		70.469	71.500	Share premium		2.582.858	2.616.003
Other intangible assets		930	398	Reserves		(11.085)	(32.364)
Property, plant and equipment		584	1.056	Other equity holder contributions		540	540
Investment property	Note 6	5.819.426	5.397.091	Valuation adjustments		(62.396)	(6.106)
Investments accounted for using the equity method		98.547	101.126	Translation differences		473	193
Non-current financial assets-	Note 8	221.420	238.040	Interim dividend		-	(25.035)
Derivatives		177.729	194.767	Profit for the period attributable to equity holders of the Parent		211.143	49.078
Other financial assets		43.691	43.273	Equity attributable to equity holders of the Parent		3.044.563	2.925.339
Deferred tax assets		17.919	23.140	Non-controlling interests		1.136	1.092
Total non-current assets		6.307.553	6.025.390	Total equity		3.045.699	2.926.431
				NON-CURRENT LIABILITIES:			
				Debt instruments and other marketable securities	Note 10	847.103	-
				Non-current bank borrowings	Note 10	2.339.351	1.455.477
				Other financial liabilities	Note 11	66.973	65.465
				Deferred tax liabilities	Note 11	232.977	223.088
				Provisions	Note 11	15.792	16.573
				Total non-current liabilities		3.502.196	1.760.603
				CURRENT LIABILITIES:			
				Liabilities associated with non-current assets held for sale	Note 7	154.707	161.425
				Provisions	Note 11	118	274
CURRENT ASSETS:				Debt instruments and other marketable securities	Note 10	3.472	-
Non-current assets held for sale	Note 7	298.949	298.534	Bank borrowings	Note 10	33.051	1.710.025
Trade and other receivables	Note 8	19.964	24.384	Other current financial liabilities	Note 11	1.653	2.369
Other current financial assets	Note 8	2.828	4.363	Trade and other payables	Note 12	29.129	353.189
Other current assets		4.931	3.027	Current tax liabilities	Note 12	3.150	898
Cash and cash equivalents		143.002	560.740	Other current liabilities	Note 11	4.052	1.224
Total current assets		469.674	891.048	Total current liabilities		229.332	2.229.404
TOTAL ASSETS		6.777.227	6.916.438	TOTAL EQUITY AND LIABILITIES		6.777.227	6.916.438

The accompanying explanatory Notes 1 to 17 and Appendix I are an integral part of the interim condensed consolidated statement of financial condition as of 30 June 2016.

MERLIN PROPERTIES SOCIMI, S.A.
AND SUBSIDIARIES

INTERIM CONDENSED CONSOLIDATED INCOME STATEMENT FOR THE SIX-MONTH PERIOD ENDED 30 JUNE 2016

(Thousands of euros)

	Notes	30/06/2016	30/06/2015
CONTINUING OPERATIONS:			
Revenue	Notes 13 and 4	154.687	65.097
Other operating income		300	1.939
Personal expenses	Note 13	(7.042)	(5.063)
Other operating expenses	Note 13	(19.770)	(4.678)
Gains/(losses) on disposals of assets		64	12
Depreciation and amortisation		(2.043)	(51)
Provision surpluses		54	476
PROFIT/(LOSS) FROM ORDINARY ACTIVITIES		126.250	57.732
Negative difference on business combinations	Note 3	(4.343)	(42)
Impairment of goodwill:		(114.278)	-
Absorption of the revaluation of investment property	Note 5	(114.278)	-
Change in fair value:		249.091	82.118
Change in fair value of investment property	Note 6	275.384	94.954
Change in fair value of financial instruments - Embedded derivative	Note 10.3	(17.038)	(12.483)
Change in fair value of financial instruments - Other		(9.255)	(353)
Finance income		639	845
Finance costs		(38.415)	(14.979)
Impairment and gains or losses on disposals of financial instruments		(355)	-
Share in profit/(loss) of companies accounted for using the equity method		2.810	-
PROFIT/(LOSS) BEFORE TAX		221.399	125.674
Income tax		(10.212)	(6.092)
PROFIT/(LOSS) FOR THE PERIOD FROM CONTINUING OPERATIONS		211.187	119.582
Attributable to shareholders of the Parent		211.143	119.582
Attributable to non-controlling interests		44	-
BASIC EARNINGS PER SHARE (in euros)		0,65	0,81
DILUTED EARNINGS PER SHARE (in euros)		0,65	0,81

The accompanying explanatory Notes 1 to 17 and Appendix I are an integral part of the interim condensed consolidated income statement for the six-month period ended 30 June 2016.

MERLIN PROPERTIES SOCIMI, S.A.
AND SUBSIDIARIES

INTERIM CONDENSED CONSOLIDATED COMPREHENSIVE INCOME STATEMENT FOR THE SIX-MONTH PERIOD ENDED 30 JUNE 2016

(Thousands of euros)

	Notes	30/06/2016	30/06/2015
PROFIT/(LOSS) FOR THE PERIOD (I)		211.187	119.582
OTHER COMPREHENSIVE INCOME:			
Income and expenses recognised directly in equity-			
From cash flow hedges		(67.516)	17.469
From translation differences		280	-
OTHER COMPREHENSIVE INCOME RECOGNISED DIRECTLY IN EQUITY (II)		(67.236)	17.469
Amounts transferred to income statement		11.226	(58)
TOTAL AMOUNTS TRANSFERRED TO INCOME STATEMENT (III)		11.226	(58)
TOTAL COMPREHENSIVE INCOME (I+II+III)		155.177	136.993
Attributable to equity holders of the Parent		155.133	136.993
Attributable to non-controlling interests		44	-

The accompanying explanatory Notes 1 to 17 and Appendix I are an integral part of the interim condensed consolidated comprehensive income statement for the six-month period ended 30 June 2016.

MERLIN PROPERTIES SOCIMI, S.A.
AND SUBSIDIARIES

INTERIM CONDENSED CONSOLIDATED STATEMENT OF CHANGES IN EQUITY FOR THE SIX-MONTH PERIOD ENDED 30 JUNE 2016

(Thousands of euros)

	Share capital	Share premium	Reserves	Shareholder contributions	Profit for the year	Interim dividend	Valuation adjustments	Translation differences	Equity attributable to the Parent	Non-controlling interests	Total equity
Balances as of 31 December 2014	**129.212**	**1.162.368**	**(30.475)**	**540**	**49.670**	**-**	**(2.636)**	**-**	**1.308.679**	**-**	**1.308.679**
Consolidated comprehensive profit/(loss)	-	-	(58)	-	119.582	-	17.469	-	136.993	-	**136.993**
Distribution of 2014 profit	-	-	49.670	-	(49.670)	-	-	-	-	-	**-**
Transactions with shareholders-											
Capital increases (Right issues)	64.606	549.151	(17.506)	-	-	-	-	-	596.251	-	**596.251**
Balances as of 30 June 2015	**193.818**	**1.711.519**	**1.631**	**540**	**119.582**	**-**	**14.833**	**-**	**2.041.923**	**-**	**2.041.923**
Balances as of 31 December 2015	**323.030**	**2.616.003**	**(32.364)**	**540**	**49.078**	**(25.035)**	**(6.106)**	**193**	**2.925.339**	**1.092**	**2.926.431**
Consolidated comprehensive profit/(loss)	-	-	-	-	211.143	-	(56.290)	280	155.133	44	**155.177**
Distribution of 2015 profit	-	-	24.043	-	(49.078)	25.035	-	-	-	-	**-**
Distribution of dividends		(33.145)	(1.838)	-	-	-	-	-	(34.983)	-	**(34.983)**
Transactions with shareholders-											
Other changes	-	-	(926)	-	-	-	-	-	(926)	-	**(926)**
Balances as of 30 June 2016	**323.030**	**2.582.858**	**(11.085)**	**540**	**211.143**	**-**	**(62.396)**	**473**	**3.044.563**	**1.136**	**3.045.699**

The accompanying explanatory Notes 1 to 17 and Appendix I are an integral part of the interim condensed consolidated statement of changes in equity as of 30 June 2016.

MERLIN PROPERTIES SOCIMI, S.A.
AND SUBSIDIARIES

INTERIM CONDENSED CONSOLIDATED STATEMENT OF CASH FLOWS FOR THE SIX-MONTH PERIOD ENDED 30 JUNE 2016

(Thousands of euros)

	Notes	30/06/2016	30/06/2015
CASH FLOWS FROM/(USED IN) OPERATING ACTIVITIES:		**90.876**	**23.293**
Profit/(loss) for the period before tax		**221.399**	**125.674**
Adjustments for-		**(93.224)**	**(68.002)**
Depreciation and amortisation		2.043	51
Changes in fair value of investment property	6	(275.384)	(94.954)
Changes in provisions		(54)	(111)
Gains/(losses) on disposals of assets		(64)	-
Negative difference on business combinations	3	4.343	42
Finance income		(639)	(845)
Finance costs		38.415	14.979
Changes in fair value of financial instruments	10.3	26.293	12.836
Share in profit/(loss) of investments accounted for using the equity method		(2.810)	-
Impairment and gains or losses on disposals of financial instruments		355	
Impairment of goodwill	5	114.278	-
Changes in working capital-		**(904)**	**(9.713)**
Trade and other receivables		4.420	(2.099)
Other current assets		(369)	46
Trade and other payables		(7.220)	(10.386)
Other assets and liabilities		2.265	2.726
Other cash flows from/(used in) operating activities-		**(36.395)**	**(24.666)**
Interest paid		(37.155)	(20.154)
Interest received		760	1.336
Income tax paid		-	(5.848)
CASH FLOWS FROM/(USED IN) INVESTING ACTIVITIES:		**(462.272)**	**(441.191)**
Payments on investments-		**(475.001)**	**(515.812)**
Net cash outflow from business acquisitions	3	(101.432)	(8.375)
Investment property	6	(55.372)	(76.442)
Property, plant and equipment		(1.357)	(106)
Contributions from Group companies and associates	3	(316.840)	(430.889)
Proceeds from disposals-		**12.729**	**74.621**
Financial assets		1.264	74.621
Investment property	6	11.465	
CASH FLOWS FROM/(USED IN) FINANCING ACTIVITIES:		**(46.342)**	**735.084**
Proceeds and payments for equity instruments-		**(34.984)**	**596.251**
Issue of equity instruments		-	596.251
Dividends paid	9.3	(1.839)	-
Return of premiums	9.3	(33.145)	-
Proceeds and payments for financial liabilities-		**(11.358)**	**138.833**
Bank borrowings	10	1.700.000	151.954
Repayment of bank borrowings	10	(2.542.801)	(7.534)
Debenture issues	10	850.000	
Other payments for financing activities		(18.557)	(5.587)
NET INCREASE/(DECREASE) IN CASH AND CASH EQUIVALENTS		**(417.738)**	**317.186**
Cash and cash equivalents at beginning of period		560.740	26.050
Cash and cash equivalents at end of period		143.002	343.236

The accompanying explanatory Notes 1 to 17 and Appendix I are an integral part of the interim condensed consolidated statement of cash flows for the six-month period ended 30 June 2016.

Merlin Properties SOCIMI, S.A. and Subsidiaries

Explanatory Notes to the Interim Condensed Consolidated Financial Statements for the six-month period ended 30 June 2016

1. Nature, activities and composition of the Group

Merlin Properties SOCIMI, S.A. (hereinafter, the "Parent") was incorporated in Spain on 25 March 2014 under the Spanish Limited Liability Companies Law (*Ley de Sociedades de Capital*). On 22 May 2014, the Parent requested to be included in the tax scheme for Listed Investment Companies in the Property Market (SOCIMIs), effective from 1 January 2014.

Its registered office is at Paseo de la Castellana, 42, Madrid.

The Parent's corporate purpose, as set out in its bylaws, is as follows:

- The acquisition and development of urban real estate for subsequent leasing, including the refurbishment of buildings as per the Value Added Tax Law 37/1992, of 28 December;
- The holding of equity interests in other SOCIMIs or in other non-resident entities in Spain with the same corporate purpose and that operate under a similar scheme as that established for SOCIMIs with respect to the mandatory profit distribution policy enforced by law or by the bylaws;
- The holding of equity interests in other resident or non-resident entities in Spain whose corporate purpose is to acquire urban real estate for subsequent leasing, and which operate under the same scheme as that established for SOCIMIs with respect to the mandatory profit distribution policy enforced by law or by the bylaws, and which fulfil the investment requirements stipulated for these companies; and
- The holding of shares or equity interests in collective real estate investment undertakings regulated by Law 35/2003, of 4 November, on collective investment undertakings, or any law that may replace this in the future.

In addition to the economic activity deriving from the principal corporate purpose, the Parent may also carry on any other complementary activities, provided that they generate income representing less than 20%, taken as a whole, of its income in each tax period, or any that can be classified as complementary as per prevailing legislation.

The activities included in the Parent's corporate purpose may be indirectly carried on, either wholly or in part, through the ownership of shares or equity interests in companies with a similar or identical corporate purpose.

The direct and, where applicable, indirect performance of any activities which are reserved under special legislation are excluded. If the law prescribes the need for a professional qualification, administrative authorisation, entry in a public register, or any other requirement for the purpose of exercising any of the activities within the corporate purpose, no such activity can be exercised until all the applicable professional or administrative requirements have been met.

Merlin Properties SOCIMI, S.A. and Subsidiaries (hereinafter, the "Group") mainly engage in the acquisition and management (through leasing to third parties) of offices, shopping centres and commercial premises. They may also invest to a lesser extent in other assets for lease.

On 30 June 2014, the Company was floated on the Spanish stock market through a share capital increase of EUR 125,000 thousand, with a share premium of EUR 1,125,000 thousand. Merlin Properties SOCIMI, S.A.'s shares/securities have been listed on the electronic trading system of the Spanish stock exchanges since 30 June 2014.

The Parent and its subsidiaries are governed by Law 11/2009, of 26 October, as amended by Law 16/2012, of 27 December, regulating SOCIMIs. Article 3 of said Law sets out the investment requirements for these types of companies, namely:

1. At least 80% of a SOCIMI's assets must be invested in urban real estate for leasing purposes and/or in land to be developed for leasing purposes provided such development starts within three years of acquisition, along with investments in the capital or equity of other entities referred to in Article 2.1 of the aforementioned Law.

   The value of the assets will be determined according to the average of the individual balance sheets for each quarter of the year, whereby the SOCIMI may opt to calculate such value by taking into account the market value of the assets included in such balance sheets instead of their carrying amount, in which case that value would apply to all balance sheets for the year. For these purposes, the money and collection rights arising from the disposal of these properties or shareholdings, if applicable, during the same year or previous years will not be calculated, provided that, in this last case, the reinvestment period referred to in Article 6 of this Law has not elapsed.

2. Similarly, at least 80% of the income for the tax period for each year, excluding that arising from the disposal of shareholdings and properties used in the compliance of its main corporate purpose, once the holding period referred to below has elapsed, should come from the lease of properties and from dividends or shares in profit from these investments.

   This percentage is calculated based on consolidated profit if the company is a Parent of a group, as defined in Article 42 of the Commercial Code, irrespective of the place of residence and the obligation to prepare consolidated financial statements. Said group will be exclusively composed of SOCIMIs and all the other entities referred to in Article 2.1 of said Law.

3. The SOCIMI's real estate assets must be leased for at least three years. The time that the properties have been offered for lease, up to a maximum of one year, will be included for the purposes of this calculation.

   This period will be calculated:

   a) In the case of properties that are included in the SOCIMI's assets before it avails itself of the scheme, from the date of commencement of the first tax period in which the special tax scheme set forth in this Law is applied, provided that the property is leased or offered for lease at that date. Otherwise, the provisions of the following paragraph shall apply.

   b) In the case of properties developed or acquired subsequently by the SOCIMI, from the date on which they were leased or offered for lease for the first time.

   c) Shares or equity investments in entities referred to in Article 2.1 of this Law must be kept in the SOCIMI's asset base for at least three years after their acquisition or, if applicable, from the beginning of the first tax period during which the special tax scheme established in the Law applies.

As established in transitional provision one of Law 11/2009, of 26 October, amended by Law 16/2012, of 27 December, governing listed companies investing in the property market, these companies may opt to apply the special tax scheme pursuant to Article 8 of this Law, even when the requirements stipulated therein are not fulfilled, under the condition that such requirements are met within two years of the date application of the SOCIMI tax scheme is sought.

Failure to fulfil such condition would cause the SOCIMI to be taxed under the general corporate income tax scheme, starting in the tax period in which such non-fulfilment is detected, unless it is remedied within the following tax period. In addition, the SOCIMI will be required to deposit, along with the payment for this tax period, the difference between the payment due as a result of applying the general tax scheme and the payment made under the special tax scheme in the previous tax periods, without prejudice to any late-payment interest, charges and penalties that may be incurred, where applicable.

SOCIMIs are taxed at a rate of 0% for corporate income tax. However, where dividends distributed to an equity holder owning at least 5% of the SOCIMI's share capital are exempt from taxation or taxed below 10%, such SOCIMI will be subject to a special charge of 19% of the dividends distributed to said equity holder, in respect of corporate income tax. If deemed applicable, this special charge shall be paid by the SOCIMI within two months after the dividend distribution date.

2. Basis of presentation of the interim condensed consolidated financial statements and basis of consolidation

2.1 Regulatory framework

The regulatory financial reporting framework applicable to the Group consists of the following:

- The Spanish Commercial Code and all other Spanish corporate law;

- International Financial Reporting Standards (IFRSs) as adopted by the European Union pursuant to Regulation (EC) No 1606/2002 of the European Parliament and Law 62/2003, of 30 December, on tax, administrative and social security measures, as well as applicable rules and circulars of the Spanish National Securities Market Commission (Comisión Nacional del Mercado de Valores, CNMV);

- Law 11/2009, of 26 October, amended by Law 16/2012, of 27 December, regulating Listed Investment Companies in the Property Market (*Sociedades Cotizadas de Inversión en el Mercado Inmobiliario* – SOCIMIs) and other corporate law; and

- All other applicable Spanish accounting legislation.

The consolidated financial statements for 2015 were prepared in accordance with the regulatory financial reporting framework described in the previous paragraph and, accordingly, they present fairly the Group's consolidated equity and financial position as of 31 December 2015 and the consolidated results of its operations, the changes in consolidated equity and the consolidated cash flows in the year then ended.

The consolidated and separate financial statements of Merlin Properties SOCIMI, S.A. for 2015, prepared by its directors, were approved by the shareholders at the Annual General Meeting on 6 April 2016.

The separate financial statements for 2015 of the other companies that form part of the Group, which were prepared by their respective directors, were approved by the equity holder or sole shareholder on the 30 June 2016 and on 4 April 2016 the consolidated financial statements of the Testa subgroup were approved at the Annual General Meeting.

These interim condensed consolidated financial statements are presented in accordance with International Accounting Standard (IAS) 34, Interim Financial Reporting, and were approved by the Parent's directors on 21 September 2016, in accordance with the provisions of Article 12 of Royal Decree 1362/2007.

In accordance with IAS 34, interim financial information is prepared solely to update the content of the most recent consolidated financial statements prepared by the Group, focusing on new activities, events and circumstances arising during the period, and does not duplicate the information previously reported in the consolidated financial statements. The interim condensed consolidated financial statements as of 30 June 2016 therefore do not include all the disclosures that would be required in complete consolidated financial statements prepared in conformity with International Financial Reporting Standards as adopted by the European Union and, accordingly, the accompanying interim condensed consolidated financial statements should be read in conjunction with the consolidated financial statements of the Group for the year ended 31 December 2015.

The consolidated results and the determination of consolidated equity are sensitive to the accounting principles and policies, measurement bases and estimates used by the Parent's directors in the preparation of the interim condensed consolidated financial statements. In this regard, the principal accounting policies and measurement based used relate to those applied in the consolidated financial statements for 2015, except for the following standards and interpretations which entered into force during the first six months of 2016.

2.2 Basis of presentation of the interim condensed consolidated financial statements

The interim condensed consolidated financial statements were obtained from the accounting records of the Parent and the consolidated companies, and have been prepared in accordance with the regulatory financial reporting framework described in Note 2.1 above and, accordingly, they present fairly the Group's consolidated equity and financial position as of 30 June 2016 and the consolidated results of its operations, the changes in consolidated equity and the consolidated cash flows for the six-month period ended 30 June 2016.

Given that the accounting policies and measurement bases applied in preparing the Group's interim condensed consolidated financial statements for the six-month period ended 30 June 2016 may differ from those applied by some of the Group companies, the necessary adjustments and reclassifications were made on consolidation to unify these policies and bases and to make them compliant with IFRSs as adopted by the European Union

In order to uniformly present the various items composing the interim condensed consolidated financial statements, the policies and measurement bases used by the Parent were applied to all the companies included in the scope of consolidation.

These interim condensed consolidated financial statements at 30 June 2016 were submitted for review by the auditors. The figures relating to 30 June 2015 and 31 December 2015 are presented for comparison purposes only.

2.2.1 Adoption of International Financial Reporting Standards effective as from 1 January 2016

In the first half of 2016 the following standards, amendments and interpretations came into force, which, where applicable, were used by the Group in preparing the interim condensed consolidated financial statements:

Standards, amendments and interpretations	Description	Mandatory application in the years beginning on or after:
IAS 16 and IAS 38 Acceptable Methods of Depreciation and Amortisation (published in May 2014)	Clarifies acceptable methods of depreciation of property, plant and equipment and amortisation of intangible assets, which do not include revenue-based methods	1 January 2016
Amendments to IFRS 11 Accounting for Acquisitions of Interests in Joint Operations (published in May 2014)	Specifies the accounting treatment for the acquisition of an interest in a joint operation that constitutes a business	1 January 2016
Amendments to IAS 16 and IAS 41 Agriculture: Bearer Plants (published in June 2014)	Bearer plants will now be recognised at cost, rather than at fair value.	1 January 2016
Improvements to IFRSs 2012-2014 cycle (published in September 2014)	Minor amendments to a series of standards	1 January 2016
Amendments to IAS 27 Equity Method in Separate Financial Statements (published in August 2014)	An investor may now be accounted for using the equity method in separate financial statements	1 January 2016
Amendments to IAS 1 Disclosure Initiative (published in December 2014)	A number of clarifications concerning disclosures (e.g. materiality, aggregation, order of notes, etc.).	1 January 2016

These standards and amendments did not have a significant impact.

All accounting policies and measurement bases with a significant effect on the interim condensed consolidated financial statements were applied.

2.2.2 Standards not yet in force in 2016

The following standards were not yet in force in the first half of 2016, either because their effective date is subsequent to the date of the interim condensed consolidated financial statements or because they had not yet been adopted by the European Union.

Standards, amendments and interpretations	**Description**	**Mandatory application in the years beginning on or after:**
Amendments to IFRS 10, IFRS 12, and IAS 28: Investment Entities (published in December 2014)	Clarifications on applying the consolidation exception to investment entities.	1 January 2016 (1)
Amendments to IAS 7 Disclosure Initiative	It introduces additional disclosure requirements in relation to the reconciliation of the changes in financial liabilities to the cash flows from financing activities.	1 January 2017 (1)
Amendments to IAS 12 Recognition of Deferred Tax Assets for Unrealised Losses	Clarification of the principles established with regard to the recognition of deferred tax assets for unrealised losses	1 January 2017 (1)
IFRS 15 Revenue from Contracts with Customers (published in May 2014)	New revenue recognition standard. Replaces IAS 11, IAS 18, IFRIC 13, IFRIC 15, IFRIC 18 and SIC-31. The new IFRS 15 model is far more restrictive and principles-based, and also has a very different contractual approach. Application of the new requirements could therefore give rise to changes in the revenue profile	Annual periods beginning on or after 1 January 2018 (1)
IFRS 9 Financial Instruments	This new standard will replace the current IAS 39. IFRS 9 was issued in parts and is now complete (classification and measurement, hedge accounting and impairment). The conceptual change is important in all sections. It changes the model for classifying and measuring financial assets, the main focus of which will be the business model. The approach of the hedge accounting model attempts to align the accounting with risk management activities and require less rules. Lastly, the impairment model moves away from the current incurred loss impairment model to an expected loss impairment model.	Annual periods beginning on or after 1 January 2018 (1)
Amendments to IFRS 2 Classification and Measurement of Share-Based Payments	The amendments are limited to clarifying specific matters such as the effects of the accrual conditions on share-based payments settled in cash, the classification of share-based payment transactions with net settlement features and certain aspects of the amendments to the type of share-based payment.	Annual periods beginning on or after 1 January 2018 (1)
IFRS 16 Leases	New leases standard which replaces IAS 17. It proposes a single accounting model for lessees, which will include all leases on the balance sheet (with certain limited exceptions) with an impact similar to the current finance leases.	Annual periods beginning on or after 1 January 2019 (1)
Amendments to IFRS 10 and IAS 28 Sale or contribution of assets between an investor and its associate or joint venture	Very important clarification in relation to the gains or losses from these transactions, because there is currently a discrepancy between these standards. When a transaction involves a business, a full gain or loss is recognised, and a partial gain or loss is recognised if a transaction involves assets.	Its adoption in the EU and its application according to the IASB is deferred indefinitely

(1) Pending adoption by the European Union

The Group is currently assessing the impact that the future application of these standards might have on the financial statements once they enter into force. The Group's preliminary assessment is that the impact of the application of these standards will not be significant. In relation to IFRS 16, which amends the leases standard, the Parent does not expect the impact on its consolidated financial statements to be significant since accounting for the lessor will not undergo significant changes.

2.3 Functional currency

These interim condensed consolidated financial statements are presented in euros, since the euro is the functional currency in the area in which the Group operates.

2.4 Comparative information

In accordance with that required in the International Financial Reporting Standards adopted by the European Union, the information contained in these interim condensed consolidated financial statements as of 30 June 2015 is presented for comparison purposes with the information relating to the six-month period ended 30 June 2016 for the condensed consolidated income statement, condensed consolidated comprehensive income statement, condensed consolidated statement of changes in equity, condensed consolidated statement of cash flows and, for the year ended 31 December 2015, for the condensed consolidated balance sheet.

2.5 Responsibility for the information and use of estimates

The information in these interim condensed consolidated financial statements is the responsibility of the Parent's directors.

In the Group's interim condensed consolidated financial statements for the six-month period ended 30 June 2016 estimates were occasionally made by the senior executives of the Group and of the consolidated companies, later ratified by the directors, in order to quantify certain of the assets, liabilities, income, expenses and obligations reported herein. These estimates relate basically to the following:

1. The market value of the net assets acquired in business combinations.

2. The market value of the Group's property assets. The Group obtained valuations from independent experts at 30 June 2016.

3. Impairment losses on goodwill.

4. The fair value of certain financial instruments.

5. Measurement of provisions and contingencies.

6. Management of financial risk and, in particular, of liquidity risk.

7. The recovery of deferred tax assets and the tax rate applicable to temporary differences.

8. Definition of the transactions carried out by the Group as a business combination in accordance with IFRS 3 or as an acquisition of assets.

9. Compliance with the requirements that govern listed companies investing in the property market.

Changes in estimates:

Although these estimates were made on the basis of the best information available at 30 June 2016 on the events analysed, events that take place in the future might make it necessary to change these estimates (upwards or downwards) in coming years. Changes in accounting estimates would be applied prospectively in accordance with the requirements of IAS 8, recognising the effects of the change in estimates in the related consolidated income statement.

2.6 Contingent assets and liabilities

There were no significant changes in the Group's main contingent assets or liabilities in the first six months of 2016.

2.7 Correction of accounting errors

In preparing the interim condensed consolidated financial statements for the six-month period ended 30 June 2016 no errors were detected that would have made it necessary to restate the amounts included in the consolidated financial statements for 2015.

2.8 Seasonality of the Group's transactions

Given the activities in which the Group companies engage, their transactions are not cyclical or seasonal in nature. Therefore, no specific disclosures are included in this connection in these explanatory notes to the interim condensed consolidated financial statements for the six-month period ended 30 June 2016.

2.9 Condensed consolidated statement of cash flows

The following terms are used in the condensed consolidated statement of cash flows, prepared using the indirect method, with the meanings specified:

1. Cash flows: inflows and outflows of cash and cash equivalents, which are short-term, highly liquid investments that are subject to an insignificant risk of changes in value.

2. Operating activities: the principal revenue-producing activities of the entities composing the consolidated Group and other activities that are not investing or financing activities.

3. Investing activities: the acquisition and disposal of long-term assets and other investments not included in cash and cash equivalents.

4. Financing activities: activities that result in changes in the size and composition of the equity and liabilities that are not operating activities.

2.10 Materiality

In accordance with IAS 34, in deciding the information to be disclosed in the explanatory notes to the interim condensed consolidated financial statements or other matters in the notes to the financial statements, the Group took into account their materiality in relation to the condensed consolidated financial statements for the six-month period ended 30 June 2016.

3. Changes in the scope of consolidation

The changes in the scope of consolidation in the first six months of 2016 were as follows:

Acquisition of 22.61% of Testa Inmuebles en Renta SOCIMI, S.A.

On 20 June 2016, the Parent acquired 34,810,520 shares of Testa Inmuebles en Renta SOCIMI, S.A., owned by Sacyr, which represent 22.61% of the share capital and the voting rights of Testa. These shares, together with those acquired by the Parent in 2015, represent 99.93% of the share capital and the voting rights of Testa Inmuebles en Renta SOCIMI, S.A. The acquisition was carried out in accordance with the investment agreement entered into between the Parent and Sacyr, S.A. on 8 June 2015, whereby the amount paid for the shares acquired in 2016 totalled EUR 316,840 thousand. The acquisition of the additional shareholding described above did not have any effect on the method of consolidation, given that the Group exercised control over Testa Inmuebles en Renta SOCIMI, S.A. as of 31 December 2015.

Accordingly, on 21 June 2016 the Boards of Directors of the Parent and of Testa Inmuebles en Renta SOCIMI, S.A. approved the merger by absorption, which would involve the integration of Testa Inmuebles en Renta SOCIMI, S.A. into the Parent through the transfer en bloc of the assets of the former in benefit of the latter. On 6 September 2016, the shareholders at the General Shareholders' Meeting of Testa Inmuebles en Renta, SOCIMI, S.A. approved the merger, but it has yet to be registered with the Mercantile Registry.

Business combination:

On 10 March 2016, the Parent, Merlin Properties SOCIMI, S.A., acquired 100% of the ownership interest of LSREF3 REO TORRE A, S.A., the share capital of which amounts to EUR 50,000, and is fully paid and represented by 50,000 shares of EUR 1 par value each, for an amount of EUR 10,150 thousand. The main activity of the company acquired is the lease of offices, warehouses and commercial establishments located in Lisbon. At the time of purchase, the seller had an account receivable from LSREF3 REO TORRE A, S.A. amounting to EUR 32,873 thousand, which was paid at the time of purchase. On 16 March 2016 the company changed its corporate name to MP TORRE A, S.A.

Similarly, on this same date, the Parent acquired 100% of the ownership interest of LSREF3 REO MONUMENTAL, S.A., the share capital of which amounts to EUR 50,000, and is fully paid and represented by 50,000 shares of EUR 1 par value each, for an amount of EUR 20,291 thousand. The main activity of the company acquired is the lease of offices and commercial establishments located in Lisbon. At the time of purchase, the seller had an account receivable from LSREF3 REO MONUMENTAL, S.A. amounting to EUR 40,180 thousand, which was paid at the time of purchase. On 23 March 2016 the company changed its corporate name to MP MONUMENTAL, S.A.

Companies acquired and consideration transferred-

	Main line of business	Date of acquisition	Percentage ownership (voting rights) acquired	Consideration transferred (thousands of euros)
MP TORRE A, S.A.	Acquisition and development of property assets for lease	10/03/2016	100%	43,023 (a)
MP MONUMENTAL, S.A.	Acquisition and development of property assets for lease	10/03/2016	100%	60,471 (a)

(a) Consideration transferred taking into consideration the loans paid corresponding to the previous owner.

- MP TORRE A, S.A. and MP MONUMENTAL, S.A.

	Thousands of euros		
	Carrying amount	Valuation adjustment	Fair value
Investment property	80,335	22,683	103,018
Non-current assets	27	-	27
Current assets	7,729	(4,898)	2,831
Current liabilities	(2,290)	(4,435)	(6,725)
Total net assets	**85,801**	**13,350**	**99,151**
Consideration transferred			103,494
Loss incurred in business combinations			**4,343**

The valuation adjustment corresponds mainly to the fair value attributed to the investment property. The assets acquired relate to two office buildings and the Dolce Vita Monumental shopping centre in Lisbon, the appraisal value of which at the time of purchase, according to an independent appraiser, was EUR 103,018 thousand. The Torre A building is leased in full to Galp, S.A. The Monumental building and the shopping centre are 91% occupied. These leases were the acquiree's business activity and only source of revenue. The purpose of these business combinations was to increase the Group's presence in the real estate market in Lisbon.

The fair value of the receivables acquired in the business combinations, which are mainly trade receivables, is EUR 52 thousand and does not differ from the gross contractual amounts. The Parent's directors do not consider that at the acquisition date there were any indications that these receivables would not be collected in full.

The valuation adjustment to current liabilities of EUR 4,435 thousand corresponds mainly to the deferred tax liability associated with the valuation adjustments.

The net profit and revenue generated by the acquired businesses in 2016 and recognised in the consolidated income statement for 2016 totalled EUR 562 thousand and EUR 934 thousand for MP TORRE A, S.A. and EUR 1,070 thousand and EUR 1,853 thousand for MP MONUMENTAL, S.A.

Had the two businesses been acquired on 1 January 2016, net profit would have increased by EUR 513 thousand and the revenue contributed to the Group would have been approximately EUR 1,339 thousand higher compared to the figures in these interim financial statements. When calculating these amounts, the directors considered that the revenue generated and expenses incurred between 1 January 2016 and the acquisition date, along with the acquisition costs, did not vary.

Net cash flow from the acquisition-

	Thousands of euros	
	MP Torre A, S.A.	MP Monumental, S.A.
Cash paid	43,023	60,471
Less: cash and cash equivalents	(472)	(1,590)
Total	**42,551**	**58,881**

Integration agreement with Metrovacesa, S.A.

On 21 June 2016, the Parent entered into an integration agreement with Metrovacesa, S.A. and its main shareholders (Banco Santander, S.A., Banco Bilbao Vizcaya Argentaria, S.A. and Banco Popular Español, S.A.) for the purpose of creating the larger Spanish real estate group of property and residential rental assets.

In accordance with the integration agreement, the transaction will be carried out through the complete spin-off of Metrovacesa, S.A., leading to the termination of this company. For the purposes of Grupo Merlin Properties SOCIMI, S.A., the execution of the agreement entails:

a) The inclusion of the entire equity business unit of Metrovacesa, which consists of the non-residential properties intended for lease (including the personnel of the Metrovacesa Group and the properties, shares or equity interests of subsidiaries or investees, contracts and, in general, all assets and liabilities of Metrovacesa associated with third-party equity, with the exception of EUR 250 million in debt). As consideration for the business received, the Parent will carry out a capital increase for an estimated amount of EUR 1,672,845 thousand (share capital plus share premium), equal to the value attributed to the assets of Metrovacesa, S.A., which will be subscribed by its shareholders, whereby the exchange ratio will be one share of Merlin Properties SOCIMI, S.A. for every 20.95722 shares of Metrovacesa, S.A. As a result of this transaction, they will require 31.237% of the Parent's share capital.

b) Metrovacesa will also spin-off the entire residential business unit, which consists of the residential properties intended for lease (including ten employees of Metrovacesa and, in general, the assets and liabilities associated with the residential assets, in addition to EUR 250 million in debt not transferred in the equity spin-off), in favour of Testa Residencial, S.L.U., a Merlin Group company that is wholly owned through Testa Inmuebles en Renta SOCIMI, S.A. As consideration for the business received, Testa Residencial, S.L.U. will carry out a capital increase for an estimated amount of EUR 441,785 thousand (share capital plus share premium), equal to the value attributed to the residential property assets of Metrovacesa, S.A., which will be subscribed by its shareholders, whereby the exchange ratio will be one share of Metrovacesa, S.A. for every share of Testa Residencial, S.L. As a result of this transaction, the shareholders of Metrovacesa will acquire 65.76% of the share capital of Testa Residencial, S.L.U.

This integration transaction was approved by the Spanish competition authorities on 26 August 2016. On 15 September 2016, the shareholders at the General Shareholders' Meetings of the Parent and Metrovacesa, S.A. approved, respectively, the capital increase (for an amount of EUR 146,740,750, through the issuance of 146,740,750 new shares with a par value of EUR 1 each, with a share premium of EUR 10.40 for every share issued) and the spin-off project regarding the net assets of Metrovacesa, S.A. described above. These agreements will be registered with the Mercantile Registry once the required formalities are completed.

4. Segment reporting

a) Basis of segmentation

Group management has segmented its activities into the business segments detailed below according to the type of assets acquired and managed:

- Office buildings
- High Street retail assets
- Shopping centres
- Logistics assets
- Hotels
- Other (including residential rental assets classified under "Non-current assets held for sale")

Any revenue or expense that cannot be attributed to a specific line of business or relate to the entire Group are attributed to the Parent as a "Corporate unit/Other", as are the reconciling items arising from the reconciliation of the result of integrating the financial statements of the various lines of business (prepared using a management approach) and the Group's consolidated financial statements.

The profits of each segment, and each asset within each segment, are used to measure performance as the Group considers this information to be the most relevant when evaluating the segments' results compared to other groups operating in the same businesses.

The Group operated solely in Spain and Portugal during the six-month period ended 30 June 2016.

b) Basis and methodology for business segment reporting

The segment information below is based on monthly reports prepared by Group management which are generated using the same computer application that prepares all the Group's accounting information. The segments follow the same accounting policies as the Group, which are described in Note 2.

Segment revenue relates to ordinary revenue directly attributable to the segment plus the relevant proportion of the Group's general income that can be allocated on a reasonable basis to that segment. The ordinary revenue of each segment does not include interest income or dividends, gains from debt redemption or repayment transactions.

Segment expenses are calculated as the directly attributable expenses incurred in the operating activities, plus the corresponding proportion of the expenses that can be reasonably allocated to the segment.

The segment profit or loss is presented before any adjustment for minority interests.

Segment assets and liabilities are those directly related to each segment's operations, plus the assets and liabilities that can be directly attributed thereto using the aforementioned allocation system, and include the proportional part of the assets and liabilities of joint ventures. Liabilities do not include income tax payments.

Segment information about these businesses as of 30 June 2016 and the comparison information for the previous period (30 June 2015 for income and expenses, and 31 December 2015 for assets and liabilities) is as follows:

a) Segment reporting

As of 30 June 2016	Thousands of euros							
	Office buildings	High Street retail	Shopping centres	Logistics	Hotels	Other	Corporate Unit	Group total
Revenue from non-Group customers								
Rental income	56,223	48,930	19,501	9,464	11,943	6,886	1,740	154,687
Total revenue	**56,223**	**48,930**	**19,501**	**9,464**	**11,943**	**6,886**	**1,740**	**154,687**
Other income	28	-	-	-	-	-	272	300
Personnel expenses	-	-	-	-	-	-	(7,042)	(7,042)
Operating expenses	(6,725)	(338)	(798)	(680)	(887)	(1,449)	(8,893)	(19,770)
Gains/(losses) on disposal of assets	-	-	-	-	-	64	-	64
Provision surpluses	54	-	-	-	-	-	-	54
Depreciation and amortisation	-	(14)	-	-	-	(1,864)	(165)	(2,043)
Profit/(loss) from ordinary activities	**49,580**	**48,578**	**18,703**	**8,784**	**11,056**	**3,637**	**(14,088)**	**126,250**
Negative goodwill on business combinations	-	-	-	-	-	-	(4,343)	(4,343)
Impairment of goodwill:								
Absorption of the revaluation of investment property	(55,741)	-	(38,380)	(5,140)	(11,796)	(3,221)	-	(114,278)
Change in fair value of investment property	70,926	118,573	49,078	21,936	12,340	2,531	-	275,384
Net financial profit/(loss)	(1,562)	(11,258)	(1,920)	(704)	-	95	(22,427)	(37,776)
Change in the value of derivative financial instruments	98	(17,970)	(464)	(575)	-	-	(7,382)	(26,293)
Impairment and gains or losses on disposals of financial instruments	-	-	-	-	-	(355)	-	(355)
Share in profit/(loss) of companies accounted for using the equity method	-	-	-	-	-	-	2,810	2,810
Profit/(loss) before tax	**63,301**	**137,923**	**27,017**	**24,301**	**11,600**	**2,687**	**(45,430)**	**221,399**
Income tax	**(533)**	**(5,509)**	-	-	-	-	**(4,170)**	**(10,212)**
Profit/(loss) for the period	**62,768**	**132,414**	**27,017**	**24,301**	**11,600**	**2,687**	**(49,600)**	**211,187**

As of 30 June 2015	Thousands of euros					
	Office buildings	High Street retail	Shopping centres	Logistics	Corporate Unit	Group total
Revenue from non-Group customers						
Rental income	8,078	44,531	8,858	3,630	-	65,097
Total revenue	**8,078**	**44,531**	**8,858**	**3,630**	**-**	**65,097**
Other income	1,271	-	654	-	14	1,939
Personnel expenses	-	(24)	-	-	(5,039)	(5,063)
Operating expenses	(444)	(465)	(1,545)	(183)	(2,041)	(4,678)
Gains/(losses) on disposal of assets	-	12	-	-	-	12
Depreciation and amortisation	-	(14)	(17)	-	(20)	(51)
Provision surpluses	-	-	-	-	476	476
Negative goodwill on business combinations	(93)	-	-	51	-	(42)
Operating profit/(loss)	**8,812**	**44,040**	**7,950**	**3,498**	**(6,610)**	**57,690**
Change in fair value of investment property	6,389	69,769	14,071	4,725	-	94,954
Net financial profit/(loss)	(1,197)	(12,343)	(1,359)	(25)	790	(14,134)
Change in the value of derivative financial instruments	(37)	(12,825)	-	26	-	(12,836)
Profit/(loss) before tax	**13,967**	**88,641**	**20,662**	**8,224**	**(5,820)**	**125,674**
Income tax	**(68)**	**(6,020)**	**-**	**(4)**	**-**	**(6,092)**
Profit/(Loss) for the period	**13,899**	**82,621**	**20,662**	**8,220**	**(5,820)**	**119,582**

As of 30 June 2016	Thousands of euros							
	Office buildings	High Street retail	Shopping centres	Logistics	Hotels	Other	Corporate Unit	Group total
Investment property	2,350,987	1,807,714	801,867	362,401	341,990	154,467	-	5,819,426
Non-current financial investments-								
Derivatives	-	177,729	-	-	-	-	-	177,729
Other financial assets	14,969	14,589	5,784	2,471	4,764	112	1,002	43,691
Deferred tax assets	2,937	7,337	321	222	823	21	6,258	17,919
Other non-current assets	46,194	24	103	10,670	125,617	900	65,280	248,788
Non-current assets	**2,415,087**	**2,007,393**	**808,075**	**375,764**	**473,194**	**155,500**	**72,540**	**6,307,553**
Trade and other receivables	4,247	3,578	414	2,769	1,660	11	7,285	19,964
Other current financial assets	-	96	-	-	1,682	-	1,050	2,828
Other current assets	29,438	31,476	6,077	6,239	-	301,254	72,398	446,882
Current assets	**33,685**	**35,150**	**6,491**	**9,008**	**3,342**	**301,265**	**80,733**	**469,674**
Total assets	**2,448,772**	**2,042,543**	**814,566**	**384,772**	**476,536**	**456,765**	**153,273**	**6,777,227**
Non-current Bank borrowings	112,282	1,008,694	131,586	68,213	-	164,333	854,243	2,339,351
Debt instruments and other marketable securities	-	-	-	-	-	-	847,103	847,103
Other non-current liabilities	171,601	50,353	8,123	2,985	30,913	6,904	44,863	315,742
Non-current liabilities	**283,883**	**1,059,047**	**139,709**	**71,198**	**30,913**	**171,237**	**1,746,209**	**3,502,196**
Current liabilities	**20,708**	**13,651**	**1,981**	**2,532**	**2,635**	**151,718**	**36,107**	**229,332**
Total liabilities	**304,591**	**1,072,698**	**141,690**	**73,730**	**33,548**	**322,955**	**1,782,316**	**3,731,528**

As of 31 December 2015	Thousands of euros							
	Office buildings	High Street retail	Shopping centres	Logistics	Hotels	Other	Corporate Unit	Group total
Investment property	2,198,045	1,689,141	683,680	295,844	325,955	204,426	-	5,397,091
Non-current financial investments-	14,844	208,421	6,511	2,539	3,948	1,691	86	238,040
Derivatives	-	194,767	-	-	-	-	-	194,767
Other financial assets	14,844	13,654	6,511	2,539	3,948	1,691	86	43,273
Deferred tax assets	3,068	7,337	340	235	871	11,289	0	23,140
Other non-current assets	96,135	38	38,483	74,273	140,299	23,865	686	373,779
Non-current assets	**2,312,092**	**1,904,937**	**729,014**	**372,891**	**471,073**	**241,271**	**772**	**6,032,050**
Trade and other receivables	2,461	2,864	793	554	2,597	11,042	4,073	24,384
Other current financial assets	0	2,830	0	1,102	0	426	5	4,363
Other current assets	13,993	17,516	1,905	2,831	1,870	295,005	522,521	855,641
Current assets	**16,454**	**23,210**	**2,698**	**4,487**	**4,467**	**306,473**	**526,599**	**884,388**
Total assets	**2,328,546**	**1,928,147**	**731,712**	**377,378**	**475,540**	**547,744**	**527,371**	**6,916,438**
Non-current Bank borrowings	246,430	978,887	130,303	66,774	27,819	5,264	-	1,455,477
Other non-current liabilities	131,360	44,563	65,909	16,452	24,652	17,334	4,856	305,126
Non-current liabilities	**377,790**	**1,023,450**	**196,212**	**83,226**	**52,471**	**22,598**	**4,856**	**1,760,603**
Current liabilities	**911,267**	**16,692**	**146,934**	**67,717**	**225,238**	**180,907**	**680,649**	**2,229,404**
Total liabilities	**1,289,057**	**1,040,142**	**343,146**	**150,943**	**277,709**	**203,505**	**685,505**	**3,990,007**

b) Geographical segment reporting

For the purposes of geographical segment reporting, segment revenue is grouped according to the geographical location of the assets. Segment assets are also grouped according to their geographical location.

The following table summarises ordinary income and non-current investment property, by geographical area, as of 30 June 2016:

As of 30 June 2016	Thousands of euros			
	Ordinary income	%	Investment property / concessions / Non-current assets held for sale	%
Madrid	73,709	47.7	3,239,822	52.5
Catalonia	23,213	15.0	821,638	13.3
Galicia	12,166	7.9	410,598	6.7
Basque Country	7,218	4.7	255,775	4.1
Andalusia	8,998	5.8	330,869	5.4
Valencia	5,561	3.6	180,106	2.9
Castile-Leon	3,101	2.0	109,157	1.8
Rest of Spain	17,240	11.0	702,018	11.3
Portugal	3,481	2.3	123,752	2.0
Total	**154,687**	**100.0**	**6,173,735**	**100.0**

c) Main customers

The table below lists the lessees from which the most rental income was received as of 30 June 2016, and the primary characteristics of each of them:

Position	Name	Building type	% of total rental income	% accumulated	Maturity
1	BBVA - Branches Flagship buildings	High street retail	28.7 1.2	29.9	2040 2029
2	Endesa	Offices	7.1	37.0	2023
3	Madrid	Offices	4.0	41.0	2019
4	Hotusa + WTC	Hotel	2.6	43.6	2019
5	PricewaterhouseCoopers, S.L.	Offices	2.4	46.0	2021
6	Caprabo	High street retail	2.3	48.3	2023
7	Indra Sistemas, S.A.	Offices	2.2	50.5	2022
8	L'Oreal España, S.A.	Offices	1.6	52.1	2022
9	Sacyr, S.A.	Offices	1.4	53.5	2018
10	Uria Menéndez Abogados, S.L.P.	Offices	1.4	54.9	2024

5. Goodwill on consolidation

The goodwill recognised as of 30 June 2016 arose from the business combination with Testa Inmuebles en Renta, SOCIMI, S.A. and subsidiaries. The changes in this heading during the first six months of 2016 were as follows:

	Thousands of euros			
	Balance as of 31/12/2015	Transfers due to absorption of value	Transfers to non-current assets held for sale	Balance as of 30/06/2016
Cost	488,042	-		488,042
Impairment losses	(295,003)	(114,278)	(503)	(409,784)
	193,039	**(114,278)**	**(503)**	**78,258**

The Parent's directors, in accordance with their positive outlook regarding the changes in the real estate market and the business plans drawn up for the acquisition of Testa, considered that the real estate assets acquired will increase in value over the coming years and will absorb the amount paid (goodwill). Accordingly, the valuations of the assets acquired in the business combination carried out by independent appraisers as of 30 June 2016 increased by EUR 114,278 thousand with regard to the appraisal carried out as of 31 December 2015 (see Note 6). The Group considers that this revaluation shows that the expectations existing at the date of the business combination were met. Therefore, the amount of the goodwill was reduced and the value of the real estate assets was increased.

The cash-generating units, which include goodwill, are as follows.

	Thousands of euros	
	June 2016	December 2015
Offices	46,194	96,135
Shopping centres	-	38,380
Logistics	10,670	15,811
Hotels	21,394	33,191
Other	-	9,522
	78,258	**193.039**

The policies for analysing impairment applied to goodwill, as well as the main assumptions used by the Group in estimating their recoverable amount, are described in Note 7 to the consolidated financial statements for 2015. In this regard and in accordance with the projections and valuations available, the Parent's directors do not consider that any impairment loss will need to be recognised in addition to the transfer described above in this Note in the first six months of 2016.

6. Investment property

The changes in this heading in the six-month period ended 30 June 2016 were as follows:

	Thousands of euros
Balances as of 1 January 2015	**1,969,934**
Additions due to business combinations	3,078,716
Additions during the period	269,045
Transfers to non-current assets held for sale	(235,190)
Changes in value of investment property	314,586
Balances as of 31 December 2015	**5,397,091**
Additions due to business combinations (Note 3)	103,018
Additions during the period	55,372
Disposals during the period	(11,439)
Changes in value of investment property	275,384
Balances as of 30 June 2016	**5,819,426**

Investment property is recognised at fair value. Income recognised in the interim condensed consolidated income statement from measuring investment property at fair value amounted to EUR 275,384 thousand.

Investment property mainly includes real estate assets in the office, high street retail, shopping centre, logistics and hotel segments.

Additions and assets acquired through business combinations in the first half of 2016 are as follows:

Type of asset	Thousands of euros
Business combination	
Offices	79,014
Shopping centres	24,004
	103,018
Acquisitions:	
Logistics	41,639
Premises of shopping centres	4,700
Improvements to assets:	9,033
	55,372
	158,390

As of 30 June 2016, the Group did not have any outright purchase agreements for investment property.

All properties included under "Investment property" were insured as of 30 June 2016, and coverage is considered to be sufficient. The mortgage loans are secured by the Group's properties in the amount of EUR 2,765,018 thousand.

As of 30 June 2016, the gross surface areas and occupancy rates of the assets by line of business were as follows:

	Square metres										
	Gross leasable area										
	Madrid	Catalonia	Castilla-La Mancha	Galicia	Basque Country	Andalusia	Valencia	Rest of Spain	Portugal	Total	Occupancy rate (%)
Offices	399,182	126,828	-	-	-	17,124	-	4,488	37,347	584,969	90.1
High Street retail	78,882	113,693	12,896	29,468	32,655	32,481	41,670	108,866	-	450,611	100.0
Shopping centres	10,838	-	-	99,929	-	21,504	-	26,559	5,495	164,325	90.4
Logistics	127,739	48,481	136,892	-	72,717	-	26,612	42,343	-	454,784	98.2
Hotels	60,743	30,155	-	5,898	-	10,637	9,308	-	-	116,741	100.0
Residential rental properties (a)	96,348	-	10,327	-	17,344	-	-	-	-	124,019	97.0
Other	311	-	-	-	-	-	-	-	-	311	100.0
Total surface area	**774,043**	**319,157**	**160,115**	**135,295**	**122,716**	**81,746**	**77,590**	**182,256**	**42,842**	**1,895,760**	**95.5**
% weight	**40.8**	**16.8**	**8.5**	**7.1**	**6.5**	**4.3**	**4.1**	**9.6**	**2.3**	**100.0**	

(a) The residential assets were transferred to "Non-current assets held for sale" (see Note 7).

Fair value measurement and sensitivity

All investment property under lease or earmarked for lease through operating leases (leased asset business segment) is classified as investment property.

In accordance with IAS 40, the Group periodically determines the fair value of its investment property. This fair value is determined by using the appraisals undertaken every six months by independent third-party experts as reference values, such that at the end of each six-month period the fair value reflects the market conditions of the investment property at that date.

The market value of the Group's investment property as of 30 June 2016, calculated on the basis of appraisals carried out by Savills Consultores Inmobiliarios, S.A. and CBRE Valuation Advisory, S.A., independent appraisers not related to the Group, amounted to EUR 5,975,599 thousand. This valuation includes the value of the embedded derivative of the rent in the lease agreement with BBVA amounting to EUR 177,729 thousand, and does not include any pre-payments made by the Group to third parties for the purchase of assets in the amount of EUR 21,556 thousand. The valuation was carried out in accordance with the Appraisal and Valuation Standards issued by the Royal Institute of Chartered Surveyors (RICS) of the United Kingdom and the International Valuation Standards (IVS) issued by the International Valuation Standards Committee (IVSC).

The method used to calculate the market value of investment property, except the BBVA and Caprabo portfolios, involves drawing up ten-year projections of income and expenses for each asset, adjusted at the reporting date using a market discount rate. The residual amount at the end of year 10 is calculated by applying an exit yield or cap rate to the net income projections for year 11. The market values obtained are analysed by calculating and assessing the capitalisation of the returns implicit in these values. The projections are intended to reflect the best estimate of future income and expenses from the investment properties. Both the exit yield and discount rate are determined taking into account the national market and institutional market conditions.

The method used by CBRE and Savills to value the BBVA and Caprabo portfolios, respectively, analyses each property individually, without making any adjustments for inclusion in a large portfolio of properties. For each property, a capitalisation rate has been assumed for the estimated market rent and subsequently adjusted on the basis of the following parameters:

- Term of the lease agreement and creditworthiness of the lessee.
- Municipality in which it is located.
- Location of the premises within the city (prime shopping areas, secondary or peripheral area).
- Immediate vicinity of the property and pedestrian traffic.
- Level of upkeep of the property (outside and inside).
- Above and below-ground distribution of the floor area.
- Façade on one street or more than one (corner, three-sided).
- Lease situation with respect to current market rent.

In any event, the situation of the rental property market could lead to material differences between the fair value of the Group's investment property and their effective realisable values.

Breakdown of fair value of investment property

As of 30 June 2016 the detail of assets measured at fair value by their level in the fair value hierarchy is as follows:

	Thousands of euros			
	As of 30 June 2016			
	Total	Level 1	Level 2	Level 3
Recurring fair value measurement				
Investment property				
Offices				
- Land	740,950			740,950
- Buildings	1,610,037			1,610,037
High Street retail				
- Land	432,658			432,658
- Buildings	1,375,056			1,375,056
Shopping centres				
- Land	54,405			54,405
- Buildings	747,462			747,462
Logistics				
- Land	97,336			97,336
- Buildings	265,065			265,065
Hotels				
- Land	126,911			126,911
- Buildings	215,079			215,079
Other				
- Land	132,436			132,436
- Buildings	22,031			22,031
Total assets measured at fair value on a recurrent basis	5,819,426			5,819,426

No assets were reclassified from one level to another during the period.

The main assumptions used to calculate the fair value of investment property were as follows:

	Net initial yield	Discount rate
Offices	6.89% - 3.29%	9.50% - 5.50%
High Street retail	7.25% - 3.75%	(*)
Shopping centres	5.22% - 3.96%	7.00% - 8.00%
Logistics	7.74% - 3.52%	8.00% - 10.33%
Hotels	10.55% - 3.40%	7.50% - 10.00%
Other	5.11% - 3.79%	5.00% - 15.50%

(*) Not applicable, performed by direct capitalisation of earnings

The effect of one-quarter of a point change in the required rates of return, calculated as income, on the market value of the assets, on investment property in consolidated assets and in the consolidated income statement, would be as follows:

	Thousands of euros	
	Assets	Consolidated net profit/(loss)
Increase in the rate of return of one-quarter of a point	(308,114)	(308,114)
Decrease in the rate of return of one-quarter of a point	340,175	340,175

The effect of a 10% change in the rent increases considered on the investment property in consolidated assets and in the consolidated income statement would be as follows:

	Thousands of euros	
	Assets	Consolidated net profit/(loss)
10% increase in market rent	197,555	197,555
10% decrease in market rent	(197,555)	(197,555)

7. Non-current assets held for sale and liabilities associated with non-current assets held for sale

As part of the process of acquiring Testa Inmuebles en Renta, SOCIMI, S.A. and subsidiaries and of assessing the strategic nature of its various assets, the Group decided to take the appropriate actions to dispose of the residential real estate assets acquired, as they were not considered to be strategic for the Group.

Consequently, and in accordance with IFRS 5, the Group classified the assets and liabilities associated with the residential activity under "Non-current assets held for sale" and "Non-current liabilities held for sale" in the accompanying consolidated balance sheet. The detail of "Non-current assets held for sale" and "Liabilities associated with non-current assets held for sale" is given in Note 12 to the consolidated financial statements for 2015. There were no significant changes in these headings during the first six months of 2016, however, as indicated in Note 3, in the directors' opinion the agreement entered into with the shareholders of Metrovacesa will entail the loss of control by the Parent of the residential business once the agreement is executed.

8. Current and non-current financial assets

The breakdown of the balance of this heading in the condensed consolidated balance sheet is as follows:

Classification of financial assets by category:

	Thousands of euros	
	30/06/2016	31/12/2015
Non-current:		
At fair value-		
Derivative embedded in BBVA lease agreement	177,729	194,767
At amortised cost-		
Loans to third parties	2,699	3,076
Deposits and guarantees	40,992	40,197
	221,420	**238,040**
Current:		
At amortised cost-		
Other financial assets	2,828	4,363
Trade and other receivables	19,964	24,384
	22,792	**28,747**

The carrying amount of financial assets recognised at amortised cost does not differ significantly from their fair value.

"Derivatives" includes the value of the embedded derivative corresponding to the inflation multiplier included in the lease agreement with BBVA to revise rents annually (see Note 6 to the financial statements for 2015). The changes in the value of this derivative in the six-month period ended 30 June 2016 amounted to EUR (17,038) thousand and were recognised under "Change in fair value of financial instruments" in the accompanying consolidated income statement. The measurement approach used is described in Note 6 above and is applicable to Level two of the fair value measurement hierarchy established in IFRS 7, as observable inputs but not quoted prices are reflected.

Sensitivity to fluctuations of 50 percentage points in the inflation curves is analysed below:

	Thousands of euros	
Scenario	Assets	Consolidated profit/(loss) before tax
+50 bps	56,302	56,302
-50 bps	(22,694)	(22,694)

"Deposits and guarantees" primarily includes the guarantees provided by lessees as security amounting to EUR 40,659 thousand, which the Group has deposited with the housing authority (*Instituto de la Vivienda*) in each region. As of 30 June 2016, guarantees provided by lessees as security amounted to EUR 50,656 thousand and were recognised under "Non-current liabilities – Other financial liabilities" on the liability side of the accompanying consolidated balance sheet.

Classification of financial assets by maturity:

The classification of the most significant financial assets by maturity is as follows:

As of 30 June 2016

	Thousands of euros				
	Less than 1 year	From 1 to 5 years	Over 5 years	Undetermined maturity	Total
Derivative embedded in BBVA lease agreement	-	-	177,729	-	177,729
Deposits, guarantees and loans to third parties	-	2,699	-	40,992	43,691
Other financial investments					
Other financial assets	2,828	-	-	-	2,828
Trade and other receivables	19,964	-	-	-	19,964
Total financial assets	**22,792**	**2,699**	**177,729**	**40,992**	**244,212**

As of 31 December 2015

	Thousands of euros				
	Less than 1 year	From 1 to 5 years	Over 5 years	Undetermined maturity	Total
Derivative embedded in BBVA lease agreement	-		194,767	-	194,767
Deposits, guarantees and loans to third parties	-	3,076		40,197	43,273
Other financial assets	4,363		-	-	4,363
Trade and other receivables	24,384		-	-	24,384
Total financial assets	**28,747**	**3,076**	**194,767**	**40,197**	**266,787**

9. Equity

9.1 Share capital

There were no changes in the Parent's share capital in the first half of 2016.

As of 30 June 2016, the share capital of Merlin Properties SOCIMI, S.A., amounted to EUR 323,030 thousand, represented by 323,030,000 fully subscribed and paid shares of EUR 1 par value each, all of which are of the same class and confer the holders thereof the same rights.

All the Parent's shares are admitted to official listing on the Madrid, Barcelona, Bilbao and Valencia stock exchanges. The market price of the Parent's shares as of 30 June 2016 and the average market price for the fourth quarter amounted to EUR 9.41 and EUR 9.64 per share, respectively.

As of 30 June 2016, the significant shareholders of Merlin Properties SOCIMI, S.A. with direct or indirect ownership interests exceeding 3% of share capital, are as follows:

	Shares			% of share capital
	Direct	Indirect	Total	
BlackRock, INC	-	16,107,741	16,107,741	4.989%
Principal Financial Group, INC	-	9,707,605	9,707,605	3.005%

9.2 Share premium

The Consolidated Text of the Spanish Limited Liability Companies Law expressly permits the use of the share premium to increase capital and establishes no specific restrictions as to its use.

This reserve is unrestricted so long as its allocation does not lower the equity of the Parent to below the amount of share capital.

9.3 Other reserves

The detail of reserves as of 30 June 2016 and 31 December 2015 is as follows:

	Thousands of euros	
	30/06/2016	31/12/2015
Legal reserve	2,986	-
Reserves of consolidated companies	70,878	49,670
Other reserves	(84,949)	(82,034)
Total other reserves	**(11,085)**	**(32,364)**

Legal reserve

The legal reserve will be established in accordance with Article 274 of the Consolidated Text of the Spanish Limited Liability Companies Law, which stipulates, in all cases, that 10% of net profit for each year must be transferred to the legal reserve until the balance of this reserve reaches at least 20% of the share capital.

This reserve cannot be distributed, and if it is used to offset losses, in the event no other reserves are available for this purpose, it must be restored with future profits.

As of 30 June 2016, the Group had not yet reached the legally required minimum established in the Consolidated Text of the Spanish Limited Liability Companies Law.

The legal reserve of companies which have chosen to avail themselves of the special tax scheme established in Law 11/2009, of 26 October, governing Listed Investment Companies in the Property Market (SOCIMIs), must not exceed 20% of share capital. The bylaws of these companies may not establish any other type of restricted reserves.

Reserves of consolidated companies

The detail of the reserves of consolidated companies is as follows:

	Thousands of euros	
	30/06/2016	31/12/2015
Merlin Properties, SOCIMI, S.A.	3,314	(921)
Tree Inversiones Inmobiliarias, SOCIMI, S.A.	158,126	31,837
Merlin Retail, S.L.U.	58,155	18,678
Merlin Oficinas, S.L.U.	19,873	95
Merlin Logística, S.L.U.	12,060	(19)
Merlin Logística II, S.L.U.	2,591	-
Obraser, S.A.	(5,912)	-
Testa Inmuebles en Renta, S.A.	(178,622)	-
MPCVI- Compra e Venda Imobiliária, S.A.	1,295	-
MPEP- Properties Escritórios Portugal, S.A.	(2)	-
	70,878	**49,670**

Other reserves

This reserve primarily corresponds to expenses related to the capital increases carried out by the Parent in previous years.

Dividends

On 6 April 2016, the shareholders at the Annual General Meeting approved the distribution of profit for 2015 and the distribution of additional dividend with a charge to the share premium in the amount of EUR 33,145 thousand. This dividend was paid prior to 30 June 2016.

On 15 September 2016, the shareholders at the Extraordinary General Meeting approved the distribution of a dividend with a charge to reserves for a total of EUR 6,461 thousand. This dividend had not yet been paid at the date of authorisation for issue of these interim consolidated financial statements.

9.4 Capital management

The Group's capital management objectives are to safeguard its capacity to continue operating as a going concern so that it can continue to provide returns to shareholders and to benefit interest groups, and to maintain an optimum financial structure to reduce the cost of capital.

In line with the practices of other groups in the sector, the Group controls its capital structure through the leverage ratio, which is calculated as net debt divided by total capital. Net debt is determined as the sum of financial liabilities less cash and cash equivalents. Total capital is calculated as the sum of equity plus net debt.

	Thousands of euros	
	30/06/2016	31/12/2015
Total financial debt (a)	3,276,497	3,269,270
Less - Cash and cash equivalents and Other current financial assets	(143,002)	(243,900)
Net debt (b)	3,133,495	3,025,370
Equity	3,045,699	2,926,431
Total capital	**6,179,194**	**5,951,801**
Debt-to-equity ratio	50.71%	50.83%

(a) It includes the financial debt of the residential assets classified under "Non-current assets held for sale" in the amount of EUR 112,078 thousand (stripping out loan arrangement expenses).

(b) As of 31 December 2015, the balance was reduced by the outstanding payment for the purchase of Testa Inmuebles en Renta, SOCIMI, S.A. shares in the amount of EUR 316,840 thousand, which was paid in June 2016 (see Note 3).

9.5 Earnings per share

Earnings per share

Earnings per share are calculated by dividing net profit attributable to common equity holders of the Parent by the number of outstanding shares during the period, excluding treasury shares.

The detail of the calculation of earnings per share is as follows:

Basic

Basic earnings per share are calculated by dividing net profit attributable to common equity holders of the Parent by the weighted average number of ordinary shares outstanding during the period, excluding treasury shares.

The detail of the calculation of basic earnings per share is as follows:

	30/06/2016	30/06/2015
Profit for the period attributable to equity holders of the Parent (thousands of euros)	211,143	119,582
Weighted average number of shares outstanding (thousands)	323,030	148,487
Basic earnings per share (euros)	**0.65**	**0.81**

The average number of ordinary shares outstanding is calculated as follows:

	Number of shares	
	30/06/2016	30/06/2015
Ordinary shares	323,030,000	193,818,000
Average effect of outstanding shares	-	(45,331,281)
Weighted average number of ordinary shares outstanding	**323,030,000**	**148,486,719**

As of 30 June 2016, the Parent did not hold any treasury shares.

Diluted

Diluted earnings per share are calculated by adjusting the profit attributable to equity holders of the Parent by the weighted average ordinary shares outstanding after adjusting for the dilutive effects of potential ordinary shares, i.e., as if all potentially dilutive ordinary shares had been converted.

The Parent does not have different classes of potentially dilutive ordinary shares.

9.6 Valuation adjustments

This heading of the consolidated balance sheet includes changes in the value of financial derivatives designated as cash flow hedges.

10. Current and non-current financial liabilities

The breakdown of the bank borrowings and debentures issued is as follows (in thousands of euros):

	Thousands of euros	
	30/06/2016	31/12/2015
Non-current:		
Measured at amortised cost		
Syndicated loan	850,000	-
Syndicated loan arrangement costs	(9,656)	-
Total, syndicated loan	**840,344**	-
Senior syndicated mortgage loan (Tree)	916,262	920,961
Syndicated mortgage loan arrangement costs	(20,398)	(21,697)
Total, syndicated mortgage loan	**895,864**	**899,264**
Debentures and bonds	850,000	-
Expenses related to issuing debentures	(2,897)	-
Total debentures and bonds	847,103	-
Mortgage loans	357,733	358,408
Leases, credit facilities and loans	157,907	163,850
Mortgage loan arrangement costs	(7,768)	(8,485)
Total, mortgage loans	**507,872**	**513,773**
Total amortised cost	**3,091,183**	**1,413,037**
Measured at fair value		
Derivative financial instruments	95,271	42,440
Total at fair value	**95,271**	**42,440**
Total, non-current	**3,186,454**	**1,455,477**
Current:		
Measured at amortised cost		
Syndicated loan	869	-
Senior syndicated mortgage loan	10,594	10,755
Debentures and bonds	3,472	-
Mortgage loans	5,765	1,333,309
Leases, credit facilities and loans	11,818	11,705
Bridge loan	-	350,868
Bridge loan arrangement costs	-	(2,921)
Total amortised cost	**32,518**	**1,703,716**
Measured at fair value		
Derivative financial instruments	4,005	6,309
Total at fair value	**4,005**	**6,309**
Total, current	**36,523**	**1,710,025**

There is no material difference between the carrying amount and the fair value of financial liabilities at amortised cost.

On 20 April 2016, the Parent obtained a "BBB" credit rating from Standard & Poor's Rating Credit Market Services Europe Limited.

10.1 Loans and credit facilities

The detail of the Bank borrowings as of 30 June 2016 and 31 December 2015 is as follows:

	Thousands of euros				
	Bank borrowings				
			30/06/2016		
	Limit	Debt arrangement expenses	Non-current	Current	Current interest
Syndicated loan	850,000	(9,656)	850,000	-	869
Senior syndicated mortgage loan - Tree	925,660	(20,398)	916,262	9,399	1,195
Active mortgage loans - Merlin	359,084	(7,197)	357,733	1,352	4,413
Finance leases	169,725	(571)	157,907	11,818	-
Revolving line of credit	320,000	-	-	-	-
Total	**2,624,469**	**(37,822)**	**2,281,902**	**22,569**	**6,477**

	Thousands of euros				
	Bank borrowings				
			31.12.2015		
	Limit	Debt arrangement expenses	Non-current	Current	Current interest
Senior syndicated mortgage loan - Tree	939,756	(21,697)	920,961	9,397	1,358
Active mortgage loans - Merlin	360,845	(7,706)	358,408	1,351	1,453
Mortgage loans - Testa Group	1,322,250	-	-	1,322,250	8,255
Finance leases	175,555	(779)	163,850	11,705	-
Bridge loan - Merlin	350,000	(2,921)	-	350,000	868
Total	**3.148.406**	**(33,103)**	**1,443,219**	**1.694.703**	**11,934**

Certain financing includes commitments to maintain certain coverage ratios, which are standard in these types of real estate companies, such as the loan-to-value ratio, the ratio of the subsidiary's income used to service the debt (interest coverage ratio, ICR), and a minimum credit rating of BBVA from ratings agencies. The Parent's directors have confirmed that these ratios were met as of 30 June 2016 and do not forecast that they will not be fulfilled in the coming years.

The main changes that took place in the first half of 2016 are as follows:

Syndicated loan and mortgage loans of the Testa Group

On 8 January 2016, the Parent took out a syndicated loan without a mortgage guarantee in the amount of EUR 1,700 million. This financing was allocated to cancel the mortgage loans taken out by Testa Inmuebles en Renta SOCIMI, S.A. in the amount of EUR 1,279 million and the bridge loan taken out by the Parent to finance the acquisition of Testa amounting to EUR 350 million. The main terms and conditions of this syndicated loan without a mortgage guarantee are as follows:

- The loan is divided into two tranches:

  a) The first tranche consists of a bank loan secured by a corporate guarantee of EUR 850 million, maturing in June 2021 and with an interest rate of Euribor plus 100 basis points. The entire first tranche is repayable upon maturity and was allocated in full to cancelling the mortgage loans of the Testa Group. The Parent entered into an interest rate swap (IRS) with the same maturity on this tranche, for 70% of the notional amount, i.e., EUR 595 million, and a cost of 0.0981% (see Note 10.3).

  b) The second tranche consists of a bridge loan amounting to EUR 850 million, is expected to mature in December 2017 and has an initial cost of Euribor plus 100 basis points. This second tranche was allocated to cancelling the mortgage loans of the Testa Group as well as the bridge loan entered into to partially finance the acquisition of Testa.

     As explained below in this Note, the second tranche was cancelled early and in full through the debenture issue launched in April 2016.

  c) The bank loan secured by a corporate guarantee involves certain reporting obligations with regard to the separate financial statements (half-yearly and annually) and the consolidated financial statements (quarterly, half-yearly and annually). An auditors' report on the financial statements is required. It also requires that an annual budget be submitted.

  d) Each quarter the Group must comply with its coverage ratio obligations, such as the ratio between market value and net financial debt ("Loan to Value" < 60%), the ratio between finance costs and operating income ("ICR" > 2.5x) and the ratio relating to assets free of liens must be maintained ("Unencumbered ratio" > 1.25x), as these are the properties owned by the restricted group (with the exception of the assets included in the subsidiaries, Tree Inversiones Inmobiliarias, S.A., Testa Residencial, S.A. and the other subsidiaries of Merlin Properties SOCIMI, S.A., the gross assets of which relating to the residential properties exceed 75%).

In addition, during the first six months of 2016 the subsidiary Testa Inmuebles en Renta SOCIMI, S.A. cancelled mortgage loans amounting to EUR 43,000 thousand.

Revolving line of credit

On 21 June 2016 the Parent arranged a revolving line of credit with a group of 12 financial institutions in the amount of EUR 320 million. This line of credit has a term of five years, maturing in 2021, and it accrues interest at Euribor plus 140 basis points. This financing will be allocated to the acquisition of new property assets. No amount had been drawn down against this loan as of 30 June 2016.

The revolving line of credit has the same guarantees and obligations for compliance with ratios as the syndicated loan.

10.2 Debenture issue

On 25 April 2016, the Parent subscribed to a bond issue programme (Euro Medium Term Notes – EMTN) for up to EUR 1,000 million. On 25 April 2016, the Parent completed the first issue of non-subordinate ordinary bonds on the Euromarket for a total of EUR 850 million, through the issuance of 8,500 bonds with a par value of EUR 100 thousand each. The bonds were issued at par, maturing at seven years, and will carry an annual coupon of 2.225% payable yearly in arrears. The terms and conditions of bonds issued are governed by and interpreted in accordance with English law and are listed on the Luxembourg Stock Exchange. As of 30 June 2016, the bond was listed at around MS+168bp, equal to a yield of approximately 1.758%.

The bond issue has the same guarantees and obligations for compliance with ratios as the syndicated loan and the revolving line of credit.

The funds obtained were allocated to the repayment of the second tranche of the syndicated loan described in the paragraph above of this note.

10.3 Derivatives

The Group's financial assets and liabilities measured at fair value as of 30 June 2016 are as follows:

	Thousands of euros			
	Level 1	Level 2	Level 3	Total
Liability instruments	-	(99,276)	-	(99,276)
Embedded derivatives	-	177,729	-	177,729
	-	**78,453**	-	**78,453**

The detail of the liability instruments is as follows (in thousands of euros):

	Thousands of euros	
	30/06/2016	31/12/2015
Non-current		
Interest rate derivatives	101,814	50,836
Inflation derivatives	(6,543)	(8,396)
Total non-current	**95,271**	**42,440**
Current		
Interest rate derivatives	4,005	6,309
Total current	**4,005**	**6,309**

These financial instruments were categorised as Level 2 based on the fair value hierarchy established in IFRS 7.

The derivatives arranged by the Group as of 30 June 2016 and their fair values at that date are as follows in thousands of euros):

			Thousands of euros				
			Outstanding notional amount at each date				
	Interest rate arranged	Fair value as of 30/06/2016	2016	2017	2018	2019	Subsequent years
Interest rate derivatives	3.46% - 0.65%	(97,312)	1,701,758	1,689,775	1,680,140	1,669,222	1,655,200
Inflation derivatives	3.14%	6,543	82,500	-	-	-	-
Interest rate derivatives - Testa	3.98% - 0.30%	(8,507)	145,940	130,040	120,740	37,240	37,240
		(99,276)	**1,930,198**	**1,819,815**	**1,800,880**	**1,706,462**	**1,692,440**

The Group opted to use hedge accounting, adequately designating the hedging relationships in which these derivative instruments are instruments hedging the borrowings used by the Group, thereby neutralising changes in the cash flows for interest payments by setting the fixed rate to be paid thereon. These hedging relationships are highly effective, prospectively and retrospectively, on a cumulative basis, since their date of designation for certain derivatives. The consolidated financial statements for 2015 include the method for measuring derivative financial instruments.

The impact on liabilities and the income statement of a 50 basis point fluctuation in the estimated credit risk rate would be as follows:

Scenario	Thousands of euros		
	Liabilities	Equity	Consolidated profit/(loss) before tax
5% rise in credit risk rate	(56,990)	47,739	9,251
5% reduction in credit risk rate	59,352	(24,941)	(34,411)

10.4 Maturity of the debt

The detail, by maturity, of the debt as of 30 June 2016 is as follows:

	Thousands of euros				
	Syndicated loan	Senior syndicated mortgage loan	Mortgage loans	Mortgage loans of the Testa Group, leasing, credit facilities and loans	Total
2017	-	9,398	1,351	11,811	22,560
2018	-	9,398	1,405	131,438	142,241
2019	-	10,572	2,275	1,092	13,939
2020	-	11,747	5,650	1,107	18,504
2021	850,000	11,747	73,708	1,122	936,577
Over 5 years	-	872,799	274,696	23,155	1,170,650
	850,000	**925,661**	**359,085**	**169,725**	**2,304,471**

11. Other current and non-current liabilities

The detail of these headings as of 30 June 2016 is as follows:

	Thousands of euros			
	30/06/2016		31/12/2015	
	Non-current	Current	Non-current	Current
Other provisions	15,792	118	16,573	274
Guarantees and deposits received	50,656	-	49,392	-
Deferred tax liabilities	232,977	-	223,088	-
Other payables	16,317	-	16,073	1,961
Payable to associates	-	840	-	408
Interim dividend payable	-	752	-	-
Other current financial liabilities	-	61	-	-
Other current liabilities	-	4,052	-	1,224
Total	**315,742**	**5,823**	**305,126**	**3,867**

"Guarantees and deposits received" includes mainly the guarantee deposits paid by lessees, which will be reimbursed at the end of the lease term.

The Parent and its subsidiaries are subject to the SOCIMI tax scheme. Under this scheme, gains from the sale of assets are taxed at 0% provided that certain requirements are met (basically, the SOCIMI must retain ownership of the assets for at least three years). Any gains from the sale of assets acquired before adhering to the SOCIMI tax scheme will be distributed on a straight-line basis (unless stated otherwise) over the periods in which the asset was owned by the SOCIMI. Any gains generated prior to joining the SOCIMI tax scheme will be taxed at the standard rate, while a rate of 0% will be applied for the other years. In this regard, the Parent's directors estimated the tax rate applicable to the tax gains on the assets acquired prior to their inclusion under the SOCIMI tax scheme (calculated based on the fair value of the assets obtained from the appraisals at the date of the business combinations and as of 30 June 2016), and registered the corresponding deferred tax liability. The changes in the balance of "Deferred tax liabilities" arose mainly as a result of the business combinations occurring in the first half of 2016 along with the increase arising from the asset revaluations.

The Parent's directors do not envisage disposing of any of the investment property acquired after the Parent and its subsidiaries joined the SOCIMI tax scheme within three years, and have therefore not recognised the deferred tax liability corresponding to the changes in fair value since the assets were acquired as the applicable tax rate is 0%.

12. Trade and other payables

The detail of this heading is as follows:

	Thousands of euros	
	30/06/2016	31/12/2015
Current		
Payable to suppliers	13,372	18,283
Sundry accounts payable	6,552	3,377
Remuneration payable	3,760	5,738
Current tax liabilities	3,150	898
Other accounts payable to public authorities	4,066	8,176
Other payables	576	316,840
Advances from customers	803	775
Total	**32,279**	**354,087**

The carrying amount of the trade payables approximates their fair value.

As indicated in Note 3, on 20 June 2016 the Parent acquired the shares of Testa Inmuebles en Renta SOCIMI, S.A., the purchase of which has yet to be formally executed. The price of this transaction amounted to EUR 316,840 thousand and was paid on the same date.

13. Revenue and expenses

a) Revenue

The detail of ordinary revenue is provided in Note 4, together with the segment information.

b) Other operating expenses

The detail of this heading in the consolidated income statement is as follows:

	Thousands of euros	
	30/06/2016	30/06/2015
Non-recoverable expenses of leased properties	8,692	1,556
Overheads	3,229	1,121
Professional services	*2,616*	*974*
Office rental	*260*	*86*
Insurance	*70*	*36*
Banking services	*2*	*4*
Taxes other than income tax	*29*	*1*
Other	*252*	*20*
Costs associated with asset acquisitions and financing	5,291	1,216
Other professional services	1,945	359
Losses on, impairment of and change in allowances for trade receivables	613	426
Total	**19,770**	**4,678**

c) Personnel expenses and average headcount

The detail of "Personnel expenses" is as follows:

	Thousands of euros	
	30/06/2016	30/06/2015
Wages, salaries and similar expenses	6,471	4,908
Employer social security costs	571	155
Total	**7,042**	**5,063**

As of 30 June 2016, the Parent recognised a provision for variable remuneration amounting to EUR 3,705 thousand, which will not be assigned to the employees, managers or executive directors until 31 December 2016.

The average number of employees at the companies composing the Group in the six-month period ended 30 June 2016 was 118, of whom 28 were employed by the Parent (115 in 2015, of whom 19 were employed by the Parent).

14. Related party transactions

In addition to subsidiaries, associates and jointly controlled entities, the Group's "related parties" are considered to be the Company's shareholders, key management personnel (members of the Board of Directors and executives, along with their close relatives), and the entities over which key management personnel may exercise significant influence or control.

Details of transactions considered material, by virtue of their amount or importance, between the Parent or group companies and the Company's managers or directors are as follows:

Name or company name of the directors or executives	Name or company name of the related party	Nature of the relationship	Amount (thousands of euros)
Magic Real Estate, S.L.	Merlin Properties, Socimi, S.A.	Merlin Properties, Socimi, S.A. subleased 125 square meters of office space to Magic Real Estate, S.L. This sublease was arranged between the parties in December 2015.	22

15. Ownership interests and positions held by directors and related parties in other companies

The directors of the Parent and the parties related thereto did not have any conflicts of interest that had to be reported in accordance with the provisions of Article 229 of the Consolidated Text of the Spanish Limited Liability Companies Law.

Directors' compensation and other benefits

As of 30 June 2016 and 2015, salaries, per diem attendance fees and other remuneration earned by members of the Parent's governing bodies totalled EUR 537 thousand and EUR 486 thousand, respectively, as detailed below:

	Thousands of euros	
	30/06/2016	30/06/2015
Fixed and variable remuneration	531	465
Bylaw-stipulated directors' emoluments	-	-
Termination benefits	-	-
Life and health insurance	6	3
Other	-	18
Total	**537**	**486**

The breakdown, by board member, of the amounts disclosed above is as follows:

		Thousands of euros	
Board member	Type	30/06/2016	30/06/2015
Remuneration of board members			
Ismael Clemente Orrego	Executive Chairman	150	150
Miguel Ollero Barrera	Executive Director	150	150
Donald Johnston	Independent Director	34	30
Maria Luisa Jordá Castro	Independent Director	34	31
Ana García Fau	Independent Director	34	31
Alfredo Fernández Agras	Independent Director	36	31
Fernando Ortiz Vaamonde	Independent Director	33	30
Ana de Pro	Independent Director	30	12
John Gómez Hall	Independent Director	30	
Matthew Globawsky	Proprietary Director	-	-
Jose Maria Cedrún	Proprietary Director	-	-
Hammad Khan	Proprietary Director	-	-
Total		**531**	**465**

The Parent has no pension obligations to members of the Board of Directors beyond those applicable to other employees.

The Parent has granted no advances, loans or guarantees to any of its directors.

Senior executives' compensation and other benefits

The remuneration of the Parent's senior executives and persons discharging similar duties, excluding those who are simultaneously members of the Board of Directors (whose remuneration is disclosed above), in the six-month period ended 30 June 2016 is summarised as follows:

Thousands of euros			
Number of employees	Fixed and variable remuneration	Other remuneration	Total
8	673	16	689

As of 30 June 2015

Thousands of euros			
Number of employees	Fixed and variable remuneration	Other remuneration	Total
7	570	6	576

16. Events after the reporting date

The following relevant events took place subsequent to 30 June 2016:

a) *Integration of the Parent and Metrovacesa*

As indicated in Note 3, on 21 June 2016 the Parent and the shareholders of Metrovacesa, S.A. entered into an integration agreement through which the Parent and Testa Residencial took over the entire equity and residential business units of Metrovacesa, the net assets of which were valued at EUR 1,672,845 thousand and EUR 441,785 thousand, respectively. The integration process was carried out through the complete spin-off of the equity of Metrovacesa, whereby the equity and residential businesses were contributed to the Parent and its subsidiary Testa Residencial. The Parent and Testa Residencial carried out respective capital increases as a balancing entry.

As of 30 June 2016, the integration process was subject to approval by the Spanish competition authorities and to approval of the capital increase and the spin-off project by the shareholders at the Extraordinary General Shareholders' Meetings of the Parent and Metrovacesa. In this regard, authorisation was obtained subsequent to 30 June 2016 by the Spanish competition authorities (26 August 2016) and approval was given by the shareholders on 15 September 2016. Consequently, the Parent will increase share capital by EUR 146,740,750, through the issuance of 146,740,750 new shares with a par value of EUR 1 each, of the same class and series as those currently in circulation, with a share premium of EUR 10.40 for every share. The Parent's directors consider that the resolutions adopted at the General Shareholders' Meetings will be registered with the Mercantile Registry prior to the end of 2016, once the required formalities are completed.

b) *Merger of the Parent and Testa Inmuebles en Renta SOCIMI, S.A.*

On 6 September 2016, the shareholders at the Extraordinary General Shareholders' Meeting of Testa Inmuebles en Renta SOCIMI, S.A. approved the merger of the company, as the absorbed company, with the Parent, as the absorbing company, under the terms and conditions of the merger plan approved and entered into on 21 June 2016 by the related managing bodies. At the date of approval of these interim financial statements, the merger has yet to be registered with the Mercantile Registry.

c) Other events after the reporting period

On 15 September 2016, the shareholders at the Parent's Extraordinary General Meeting approved the distribution of a dividend with a charge to reserves in the amount of EUR 6,460 thousand, at EUR 0.02 per share.

17. Explanation added for translation to English

These interim condensed/complete consolidated financial statements are presented on the basis of the regulatory financial reporting framework applicable to the Group in Spain (see Note 2). Certain accounting practices applied by the Group that conform with that regulatory framework may not conform with other generally accepted accounting principles and rules.

Appendix I
"Subsidiaries and associates as of 30 June 2016"

			Thousands of euros									
				Profit/(Loss)					Carrying amount			
Company	Line of business / Registered office	Ownership interest	Share capital	From operations	Net	Other equity	Total equity	Dividends received	Cost	Impairment	Consolidation method	Auditor
Tree Inversiones Inmobiliarias, SOCIMI, S.A.U.	Acquisition and development of property assets for lease / Paseo de la Castellana 42, Madrid	100%	9,323	38,526	17,701	(10)	27,014	-	657,984	-	Full consolidation	Deloitte
Merlin Logística, S.L.U.	Acquisition and development of property assets for lease / Paseo de la Castellana 42, Madrid	100%	7,838	2,895	1,824	70,893	80,555	513	78,353	-	Full consolidation	Deloitte
Merlin Retail, S.L.U.	Acquisition and development of property assets for lease / Paseo de la Castellana 42, Madrid	100%	17,963	8,125	5,166	163,131	186,260	1,500	179,608	-	Full consolidation	Deloitte
Merlin Oficinas, S.L.U.	Acquisition and development of property assets for lease / Paseo de la Castellana 42, Madrid	100%	16,779	6,311	847	146,438	168,064	2,926	167,759	-	Full consolidation	Deloitte
MPEP – Properties Escritórios Portugal, S.A.	Acquisition and development of property assets for lease / Rua Eça de Queirós 20, Lisbon	100%	50	(1)	(1)	(3)	46	-	50	-	Full consolidation	Deloitte Portugal
MPCVI – Compra e Venda Imobiliária, S.A.	Acquisition and development of property assets for lease / Rua Eça de Queirós 20, Lisbon	100%	1,050	654	209	5,434	6,693	-	6,418	-	Full consolidation	Deloitte Portugal
Merlin Logística II, S.L.U.	Acquisition and development of property assets for lease / Paseo de la Castellana 42, Madrid	100%	300	289	54	3,928	4,282	-	10,671	-	Full consolidation	Deloitte
MP – Monumental, S.A.	Acquisition and development of property assets for lease / Avda. Fontes Pereira de Melo 51, Lisbon	100%	50	1,762	576	10,642	11,268	-	20,054	-	Full consolidation	N/A

			Thousands of euros									
				Profit/(Loss)					Carrying amount			
Company	Line of business / Registered office	Ownership interest	Share capital	From operations	Net	Other equity	Total equity	Dividends received	Cost	Impairment	Consolidation method	Auditor
MP – Torre A, S.A.	Acquisition and development of property assets for lease / Avda. Fontes Pereira de Melo 51, Lisbon	100%	50	848	(1)	1,754	1,803	-	9,812	-	Full consolidation	N/A
Testa Inmuebles en Renta SOCIMI, S.A.	Acquisition and operation of property assets for lease / Paseo de la Castellana 83-85, Madrid	99.93%	30,794	62,197	106,072	374,071	510,937	-	1,986,703	-	Full consolidation	Deloitte
Obraser, S.A.	Acquisition and development of property assets for lease / Paseo de la Castellana 42, Madrid	100%	601	1,690	1,785	4,011	6,397	1,144	36,600	-	Full consolidation	N/A
Centro Intermodal de Logistica, S.A. (CILSA)	Development, management and performance of logistics activities in the port system / Avenida Ports d'Europa 100, Barcelona	32%	15,467	5,558	3,290	58,762	77,519	-	50,037	-	Equity method	KPMG
Trade Center Hotel, S.L.U.	Rental property / Avda. Diagonal, 490, Barcelona	100%	12,020	2,108	1,658	22,365	36,044	3,174	12,020	-	Full consolidation	Deloitte
Testa Residencial, S.L.U.	Rental property / Paseo de la Castellana, 83-85, Madrid	100%	16,013	2,511	2,274	4,801	23,088	-	14,799	-	Full consolidation	Deloitte
Testa American Real Estate Corporation (a)	Rental property / 1111 Brikell Avenue, Miami, US	100%	73,000	(271)	239	106,430	179,670	-	70,682	-	Full consolidation	N/A
Gesfontesta, S.L.U.	Provision of services / Paseo de la Castellana 83-85, Madrid	100%	571	258	202	143	916	313	642	-	Full consolidation	N/A
Gescentesta, S.L.U.	Provision of services / Paseo de la Castellana 83-85, Madrid	100%	3	142	107	1	111	187	3	-	Full consolidation	N/A
Gesfitesta, S.L. (formerly Itaceco, S.L.U.)	Inactive / Paseo de la Castellana 83-85, Madrid	100%	6	(308)	(318)	311	172	-	6	-	Full consolidation	N/A
Prosacyr Hoteles, S.A.	Inactive / Paseo de la Castellana 83-85, Madrid	100%	180	(1)	-	4,102	4282	-	4,287	-	Full consolidation	N/A

			Thousands of euros									
				Profit/(Loss)					Carrying amount			
Company	Line of business / Registered office	Ownership interest	Share capital	From operations	Net	Other equity	Total equity	Dividends received	Cost	Impairment	Consolidation method	Auditor
Bardiomar, S.L.	Rental property / Ctra. Las Rozas-El Escorial km.0.3, Madrid	50%	7,631	2,426	1,756	4787	17,911	-	19,713	-	Equity method	Deloitte
Provitae Centros Asistenciales, S.L.	Rental property / C. Fuencarral, 123, Madrid	50%	6,314	(3)	(8)	(905)	5,401	-	11,572	7,076	Equity method	N/A
PK. Inversiones 22, S.L.	Provision of services / C. Príncipe de Vergara, 15, Madrid	50%	60	-	-	(24)	36	-	30	-	Equity method	N/A
Pazo de Congresos de Vigo, S.A.	Project for the execution, construction and operation of the Vigo Convention Centre / Avda. García Barbón, l, Vigo	44.44%	11,100	(413)	(798)	(2,180)	8,122	-	10,587	7,204	Equity method	N/A
PK. Hoteles 22, S.L.	Rental property / C. Príncipe de Vergara, 15, Madrid	32.50%	5,801	185	64	(1,019)	4,846	-	5,688	5,110	Equity method	N/A
Parking del Palau, S.A.	Rental property / Paseo de la Alameda, s/n. Valencia	33%	1,998	32	21	314	2,353	-	660	-	Equity method	N/A

(a) Amounts expressed in US dollars.